INTERNATIONAL MONETARY FUND

Strengthening Domestic Revenue Mobilization in The Gambia

Chie Aoyagi, Priscilla Banda, Nour Bouzouita, Frank van Brunschot, and Jean-Marc Bedhat Atsebi

SIP/2026/068

IMF Selected Issues Papers are prepared by IMF staff as background documentation for periodic consultations with member countries. It is based on the information available at the time it was completed on June 22, 2026. This paper is also published separately as IMF Country Report No 26/176.

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ABSTRACT: Elevated development financing needs, persistent debt service pressures, and increased uncertainty regarding external grants have heightened the urgency of strengthening domestic revenue mobilization in The Gambia. This paper examines The Gambia's current revenue performance relative to peers, estimates tax potential and tax effort using frontier methods, evaluates the authorities' Domestic Resource Mobilization Strategy (DRMS), incorporates estimates from the IMF's Revenue Assessment and Yield Tool (RAYT) and identifies priority and feasible reforms to sustainably raise domestic revenue.

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SELECTED ISSUES PAPERS

Strengthening Domestic Revenue Mobilization in The Gambia

The Gambia

Prepared by Chie Aoyagi, Priscilla Banda, Nour Bouzouita, Frank van Brunschot, and Jean-Marc Bedhat Atsebi [1]

[1] The authors are grateful to the Gambian authorities for providing data and participating in helpful discussions. They also thank colleagues in the African Department and Fiscal Affairs Department for valuable comments and suggestions. Any remaining errors are solely the responsibility of the authors.

INTERNATIONAL MONETARY FUND

THE GAMBIA

SELECTED ISSUES

June 22, 2026

Approved By
African Department

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CONTENTS

STRENGTHENING DOMESTIC REVENUE MOBILIZATION IN THE GAMBIA[1]

Elevated development financing needs, persistent debt service pressures, and increased uncertainty regarding external grants have heightened the urgency of strengthening domestic revenue mobilization in The Gambia. This paper examines The Gambia's current revenue performance relative to peers, estimates tax potential and tax effort using frontier methods, evaluates the authorities' Domestic Resource Mobilization Strategy (DRMS), incorporates estimates from the IMF's Revenue Assessment and Yield Tool (RAYT) and identifies priority and feasible reforms to sustainably raise domestic revenue.

A. Introduction

1. **Domestic revenue mobilization (DRM) has long been central to The Gambia's development strategy, but has taken on heightened importance in the current global context.** Strengthening DRM would underpin the financing of poverty and inequality reduction, support fiscal consolidation amid elevated debt vulnerabilities, strengthen state-building capacity, and help meet the growing demands of climate adaptation and mitigation. Empirical evidence further suggests that sustained improvements in tax capacity can be growth-enhancing once a critical threshold is reached, with growth tending to accelerate beyond this "tipping point" (Bellon and Warwick, 2025). These considerations have become more urgent as the external financing environment tightens — with declining aid flows, heightened volatility, and tighter financial conditions—increasing reliance on domestic resources and the costs of delayed reform.

2. **At the same time, higher revenue mobilization alone will not be sufficient to meet The Gambia's development challenges.** The country faces substantial financing needs to advance its development agenda, including investments in human capital, infrastructure, social protection, and climate adaptation. Baseline projections from the IMF's SDG Financing Tool[2] indicates that, under current policies, The Gambia would achieve the Sustainable Development Goals only after 2054; achieving the SDGs by 2030 would require additional annual financing of about 20.5 percent of GDP. Moreover, elevated public debt and a heavy debt-service burden limit the scope for deficit financing, with debt service currently absorbing close to one-quarter of total revenues and grants. Together, these constraints suggest that closing The Gambia's financing gaps will require a comprehensive approach that combines enhanced domestic reforms with continued access to grants and concessional financing.

3. **Achieving durable fiscal gains requires DRM efforts to be complemented by stronger public financial management (PFM) and spending prioritization toward growth- and**

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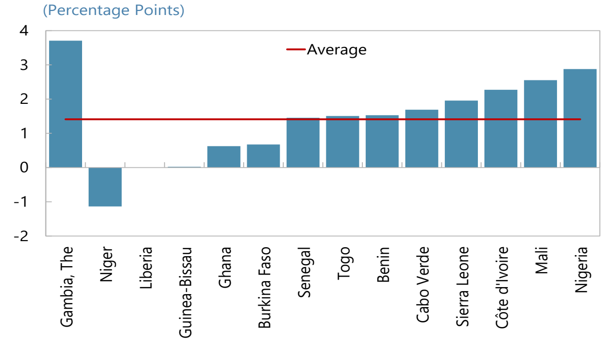
[2] The baseline projection shows (1) when the SDG needs will be met in the business-as-usual scenario and (2) how much additional financing is required to meet the SDGs by the specified time horizon (which is set as 2030 here).

equity-enhancing uses. Improvements in public investment management and broader PFM frameworks would strengthen budget credibility, expenditure control, and transparency, while spending prioritization can help ensure that limited resources are directed toward high-impact areas. Strengthening the efficiency and composition of public spending—alongside reforms to enhance DRM—will be essential to ensure that fiscal policy supports inclusive and resilient growth. Against this broader fiscal reform agenda, the remainder of this paper focuses on DRM by assessing recent revenue performance, identifying key constraints, and outlining priority reforms to strengthen revenue outcomes.

B. Revenue Structure and Recent Trends

4. The Gambia's domestic revenue has increased steadily since 2022, driven primarily by tax revenue. The increase of about 3.7 percentage points of GDP exceeds that observed in regional peer countries and represents a significant improvement in revenue performance.

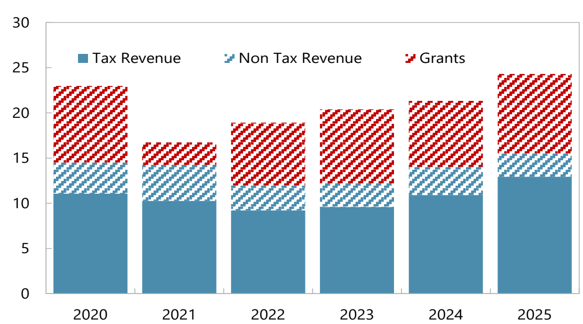
Change in Tax-to-GDP Ratio, 2025-2022
(Percentage Points)



Sources: IMF Staff Calculation

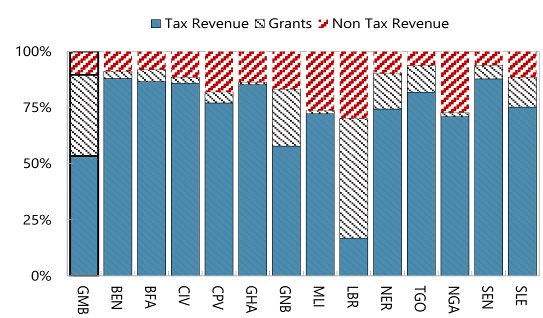
5. Nevertheless, The Gambia remains highly dependent on external grants, exposing the budget to significant volatility and uncertainty. The share of grants in total government revenue remains substantially higher in The Gambia than in regional comparator countries. On-budget grant inflows have historically been volatile, contributing to fiscal uncertainty and complicating budget planning. In this context, announced global aid cuts by major donors and uncertainty surrounding their magnitude and timing pose rising risks to future budget-support inflows for The Gambia, which could further constrain fiscal policy formulation. Heavy reliance on on-budget grants therefore heightens vulnerability to external shocks and underscores the importance of strengthening DRM to enhance fiscal resilience.

Revenue Composition in The Gambia
(Percent of GDP)



Sources: IMF Staff Calculations

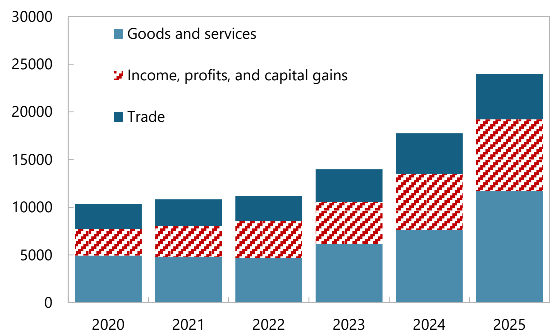
Revenue Composition Comparison, 2025



Sources: IMF Staff Calculation

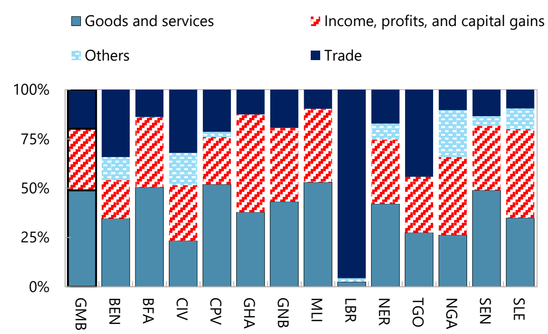
6. At the same time, the tax structure remains skewed, underscoring the need to diversify across tax bases and instruments. Relative to comparator countries, The Gambia relies heavily on customs and trade-related taxes, which account for about 25 percent of tax revenue, compared with an average of 19 percent in low-income country comparators, based on cross-country evidence. This reliance increases exposure to external shocks and reflects the continued dominance of taxes that are relatively easier to administer, while the underlying domestic tax base remains narrow. In this context, the African Continental Free Trade Area (AfCFTA) agreement reinforces the need for structural tax reform, as gradual trade liberalization will further test the sustainability of a revenue system heavily reliant on border taxes. The challenge is therefore not only diversification across tax categories, but more fundamentally diversification across tax bases and instruments, including a stronger contribution from domestic consumption, income, and property taxes.

Tax Composition in The Gambia
(Millions of Local Currency)



Sources: IMF Staff Calculations

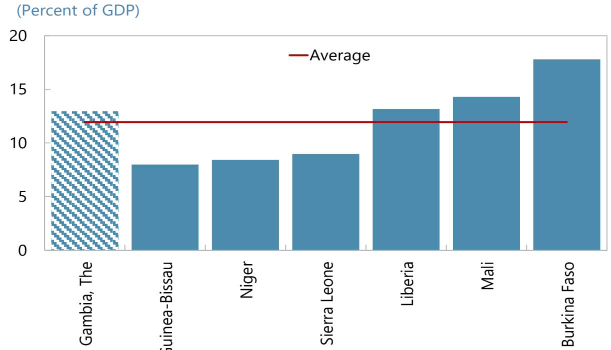
Tax Composition Comparison, 2025



Sources: IMF Staff Calculations

7. At around 13 percent of GDP in 2025, tax revenue in The Gambia places the country in the middle of the regional LIC distribution. This comparison underscores that, despite being above the peer average, The Gambia's tax revenue remains below commonly cited adequacy thresholds of 15 percent of GDP (Baer et al., 2025).

Tax Revenue, 2025
(Percent of GDP)



Sources: IMF Staff Calculation

C. Estimating Tax Potential and Tax Effort

8. Tax potential analysis provides a structured framework for assessing a country's scope to raise domestic revenue by benchmarking actual tax performance against what could be achieved given its structural economic characteristics and institutional capacity. The difference between actual revenue and estimated tax potential—the tax gap—captures the extent to which weaknesses in policy design, tax administration, compliance, and enforcement constrain revenue outcomes. Importantly, tax potential should be viewed as an illustrative benchmark rather than a binding target, and closing the full gap rapidly is neither expected nor necessarily desirable.

9. Conceptually, tax potential reflects the highest level of tax revenue a country could mobilize under comparable circumstances, based on an empirically derived benchmark from peer countries. Countries operating below this frontier can narrow the tax gap through improvements in policy, administration, and compliance. By contrast, the frontier itself shifts upward only when underlying structural and institutional determinants improve. The distinction is therefore between improving performance within current constraints and easing those constraints through sustained structural and capacity-enhancing reforms.

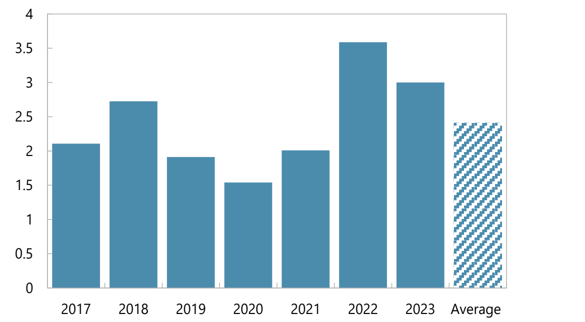
10. The tax potential estimates are derived using Stochastic Frontier Analysis (SFA), applied to a panel dataset covering 154 countries over 1980–2024, using the methodology described in Benitez et al. (2023). This cross-country empirical approach relates observed tax-to-GDP ratios to a set of structural and institutional fundamentals. The model specifies tax revenue performance as a function of income per capita, economic structure, trade openness, and indicators of governance and institutional quality, while controlling for country-specific and time effects[3]. Unlike ordinary regression models, SFA explicitly decomposes deviations from the estimated tax frontier into random shocks and a one-sided inefficiency term, allowing the analysis to distinguish structural constraints from shortfalls attributable to policy design, administrative capacity, and compliance.

11. The estimated tax gap for The Gambia indicates that there is space for tax revenue mobilization through policy and administrative reforms. An updated estimate of the average tax potential for The Gambia over the period 2017–23 is 12.6 percent of GDP, lower than the average for LICs (21.6 percent of GDP). Compared to actual tax ratios, this implies a tax gap of about 2.5 percent of GDP on average for The Gambia. This tax gap is lower than the average for LICs (4.9 percent of GDP), indicating relatively strong revenue performance given its structural and institutional characteristics. At the same time, the smaller gap suggests that further gains from closing existing inefficiencies may be limited and mobilizing additional tax revenue will be more challenging without improvements in institutional quality. For example, Baer et al. (2025) show that raising the quality of public institutions in LICs—in general, not only tax institutions—to levels observed in EMEs could generate additional revenue of about 1.2 percent of GDP. This underscores that the scope for further

[3] The estimates presented in this paper is an update of the analysis described in Benitez et al. (2023) using the latest global tax revenue dataset. Benitez et al. (2023) describes in Annex 1 the econometric specification and the estimation methodology, along with the variable selected in the regression analysis.

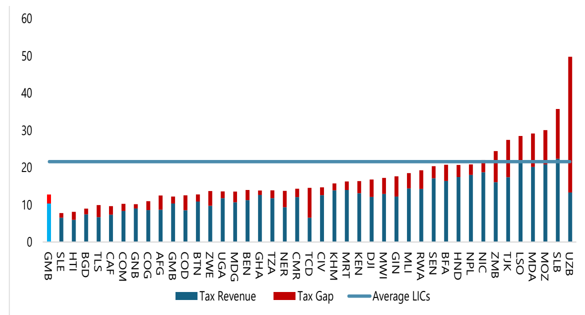
revenue gains hinges critically on complementary improvements in governance, public financial management, and institutional capacity.

The Tax Gap in The Gambia
(In percent of GDP)



Sources: IMF Staff Calculations

Peers Tax Potential Estimates, 2017- 2023
(Average, in percent of GDP)



D. The Authorities' Domestic Resource Mobilization Strategy

12. The country's Domestic Resource Mobilization Strategy (DRMS) for 2026–2030, approved in September 2025, sets out a broad agenda of measures to strengthen The Gambia's domestic revenue base. The DRMS is anchored in a medium-term revenue objective of raising the tax-to-GDP ratio to about 15 percent by 2030, implying an aggregate revenue gain of about 3.2 percent of GDP over 2026–30[4]. This revenue target is intended to support fiscal sustainability, reduce reliance on volatile customs revenues and external financing, and create durable fiscal space for priority spending under the Recovery-Focused National Development Plan. The strategy identifies tax and non-tax measures structured around six pillars covering base expansion, fiscal governance and compliance, the legal framework, tax administration effectiveness and efficiency, governance and monitoring, and institutional capacity building.

13. The six pillars of the DRMS are designed to encompass concrete policy and administrative reforms, including tax expenditure management, income tax and VAT reforms, rental income taxation, property tax reform, investment tax incentives, and reforms related to informality and presumptive taxation. These measures are embedded across the pillars, reflecting the strategy's emphasis on translating high-level objectives into specific, implementable

[4] The implied revenue gain does not directly correspond to the difference between the current tax-to-GDP ratio and the 2030 target, as revisions to GDP have altered the starting point relative to that assumed when the DRMS was prepared.

policy actions. Beyond revenue mobilization, the DRMS articulates broader revenue policy objectives, including improving equity and progressivity of the tax system, strengthening transparency and accountability to reinforce the social contract, enhancing resilience of the revenue base to external shocks, and supporting decentralization through stronger local revenue mobilization.

14. The authorities' medium-term revenue projections are underpinned by a set of tax policy measures aimed at broadening the tax base and rationalizing exemptions, including reforms to investment incentives, payroll taxation, property taxation, and the management of tax exemptions, alongside continued fuel pricing reforms and trade tariff adjustments under AfCFTA.

15. Consistent with this framework, implementation of the DRMS is already progressing across several priority areas.

- **Tax expenditure management.** Work has advanced on establishing a tax expenditure framework, including defining the benchmark tax system, compiling an inventory of tax expenditures, and developing methodologies to assess foregone revenue, thereby laying the groundwork for greater fiscal transparency and informed policy decisions. A tax expenditure statement covering data through 2025 has been finalized and transmitted to Cabinet.
- **Income tax and VAT reforms.** Legislative reforms are underway to modernize income tax and VAT legislative frameworks, including strengthening the taxation of cross-border transactions, enhancing anti-avoidance provisions, and separating tax administration provisions into a dedicated legal framework.
- **Rental income taxation.** Efforts to strengthen rental income taxation are focusing on improving compliance through greater use of third-party information and data-driven tools to better identify taxable rental activity and reduce under-reporting.
- **Property tax reform.** Preparatory work is advancing to strengthen property taxation, supported by recent IMF technical assistance, including measures to improve coverage and valuation of recurrent property taxes, modernize the legal framework, and reform property transfer taxation, with the objective of mobilizing underutilized revenue potential while improving equity and local service financing.
- **Investment tax incentives.** Reforms to streamline investment-related tax incentive are well advanced, including legislative changes to narrow preferential import treatments, shift away from costly tax holidays, and strengthen customs administration, with the objective of reducing leakages, compliance risks, and administrative costs.
- **Informality and presumptive taxation.** Analytical work is starting to better distinguish between size-based informality and non-compliance, informing future reforms to presumptive taxation and broader efforts to expand the tax base while supporting formalization and ease of doing business.

16. While these reforms represent important progress under the DRMS, further policy and administrative efforts will be needed to close remaining gaps and achieve the targeted revenue gains.

E. Policy Priorities and Reform Options to Support the DRMS

17. Building on the implementation of the DRMS outlined above, IMF technical assistance helps to further prioritize reforms, quantify potential revenue gains, and identify remaining policy gaps. While many reform areas overlap with those identified in the DRMS, the discussion below focuses on areas where additional efforts could yield the largest gains or where reform momentum needs to be strengthened.

Tax Policy

18. Tax expenditure reform remains central to strengthening revenue performance. Recent technical assistance notes that revenues forgone from tax expenditures are sizable, estimated at about 2.8 percent of GDP in 2024, and mainly driven by legacy Special Investment Certificates granted prior to the amendment of the Gambia Investment and Export Promotion Agency (GIEPA) Act. Building on the recent submission of the tax expenditure statement to Cabinet, the authorities should institutionalize reporting by ensuring timely estimates feed into the budget cycle and by presenting the statement to Parliament as part of budget documentation. Over time, expanding coverage through a clear workplan—supported by improved data in collaboration with the Gambia Bureau of Statistics—and strengthening the legal and governance framework, including centralized oversight within the Ministry of Finance, would help align tax expenditures with fiscal objectives.

19. Alongside, reforms to the core tax policy instruments could yield meaningful revenue gains over the medium term. Priority areas include a comprehensive review and modernization of the VAT system, where widespread exemptions narrow the tax base and revenue yields lag regional peers. The taxation of tourism and digital supplies offers one such opportunity for modernization: implementation of the VAT on vacation rentals alone could generate additional revenues of about 0.04 percent of GDP. Strengthening recurrent property taxation is another key opportunity. Recent TA estimates that, under current statutory rates, recurrent property tax revenues could reach up to about 0.9 percent of GDP, compared to roughly 0.15 percent of GDP currently collected, implying a potential gap of around 0.75 percent of GDP.

20. Realizing these gains will require careful sequencing and an appropriate mix of measures. The TA emphasizes that neither implementing reforms all at once nor pursuing ad hoc approaches would be effective. Instead, measures should be assessed against the overall revenue objective, administrative capacity, and interdependencies across reforms, and embedded in a clearly articulated roadmap.

Tax Administration

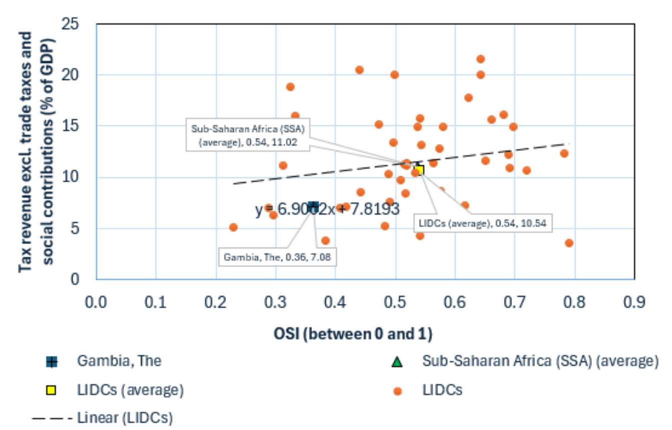
21. Strengthening tax administration will be critical to realizing projected revenue gains. While reforms are underway, particularly in digitalization and compliance management, further progress is needed to fully leverage these initiatives. Enhancing the use of third-party information, expanding risk-based audit programs, and improving taxpayer registration and education efforts remain key priorities.

22. Digitalization efforts offer important opportunities but require effective implementation and integration. The rollout of systems such as ITAS, electronic invoicing, and revenue assurance tools has the potential to significantly improve compliance and reduce leakages. Ensuring interoperability across systems, strengthening data quality, and building institutional capacity to utilize these tools effectively will be essential to maximize their impact.

F. Revenue Assessment and Yield Tool (RAYT)

23. The IMF's Revenue Assessment and Yield Tool (RAYT) estimates potential revenue gains from strengthening tax administration.[5,6] RAYT, based on Atsebi et al. (2025), combines a structured diagnostic of institutional and operational strengths and weaknesses with scenario-based simulations to estimate additional revenue that could be mobilized if reforms are implemented with adequate managerial, organizational, and human-resource support.[7] It organizes tax administration performance across nine core areas covering the full compliance and institutional value chain.

Tax Revenue vs. Operational Strength Index (OSI), Latest available



24. RAYT summarizes tax administration performance in the Operational Strength Index (OSI). The OSI is a 0–1 summary score that measures how strong a revenue administration's core operational practices and institutional foundations are, based mainly on The International Survey on Revenue Administration (ISORA) indicators aggregated with

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[5] This section is based on desk research by IMF's Fiscal Affairs Department, using strategic documents, CD reports and limited meetings with the authorities. A deepened analysis requires a stronger engagement with the authorities to validate The Gambia's assumptions and progress of implementation of strategic plans.

[6] Atsebi et al: Revenue Assessment and Yield Tool (RAYT): User Manual 2026

[7] RAYT only estimates revenue gains from tax administration. Potential increase of revenues from trade taxes and Social Security Contributions are not taken into account.

expert weights.[8] A higher OSI means more key building blocks are in place, and across countries this is associated with higher tax-to-GDP ratios, excluding social security contributions and trade taxes.

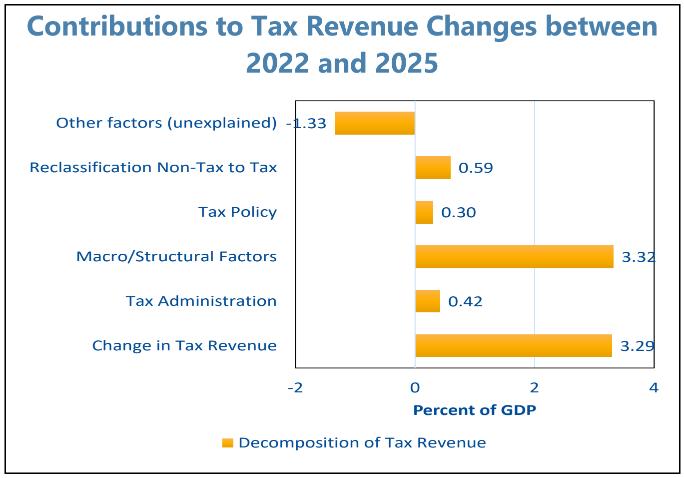
25. The Gambia's OSI is lower than the average for LICs. The OSI estimation was done through desk reviews based on self-reported data from ISORA, with additional engagement and validation with the GRA. As of 2022, the low OSI of 0.36 suggests that The Gambia underperforms relative to LIDCs and SSA peers with an average OSI of 0.54. This implies that there is scope to raise revenue over time by improving tax administration, even without changing tax rates. This would depend on reforms being well-designed and implemented, in line with the ambition of the Gambia Revenue Authority's (GRA) strategic plan and IMF recommendations.

26. The OSI identifies GRA's areas of relative strengths and weaknesses. Notable strengths, specifically in areas of Autonomy, Human Resource Management, and Public Accountability are already in place, presenting valuable opportunities for catalyzing progress in critical deficiency areas such as Digitalization, Compliance Risk Management, Use of Third-Party Data, Large Taxpayer Office and High-net Worth Individuals, and Enforcement. These strengths contribute to the observed increase of the OSI from 0.36 to 0.43 based on the latest available data in ISORA for 2022, and 2025 respectively. However, as ISORA data are self-reported and may be subject to differences in interpretation, reporting practices, and data quality, these results should be treated as indicative. A more detailed assessment of reform progress and implementation readiness would require deeper engagement, including a field visit.

27. RAYT also includes back-casting—decomposing past tax-to-GDP changes by source as a plausibility check—with forecasting that provides indicative revenue gains from administrative reforms. The back-casting module decomposes past changes in the tax-to-GDP ratio into contributions from tax administration, tax policy, and macro or structural factors, serving as a plausibility check on historical revenue trends, while the forecasting (reform simulation) module provides indicative ranges of potential future revenue gains from specified administrative reforms. It is worth mentioning that the forecasting should be interpreted as potential outcomes conditional on full reform implementation, rather than as mechanical revenue forecast.

[8] The International Survey on Revenue Administration (ISORA) is a joint initiative of the IMF, OECD, CIAT, IOTA, and ADB that collects standardized and comparable data on the organization, resources, operations, and performance of national tax administrations worldwide.

28. The Gambia has shown a substantial increase of tax-to-GDP in recent years, mainly driven by macro-structural factors[9]. The tax-to-GDP ratio, excluding social security contributions and trade taxes, has increased from 7.1 percent in 2022 to 10.4 percent in 2025. RAYT's back-casting analysis concludes that the increase is mainly driven by macro-structural factors which include higher imports and a reduction of the share of agriculture in GDP.



29. RAYT's back-casting suggests that the recent rise in the non-trade non-SSC tax-to-GDP ratio has also been modestly supported by some improvements in core domestic tax administration. It attributes an increase of about 0.42 percent of GDP to tax administration improvements during the period 2022–25. Domestic tax administration reforms have centered on digital transformation—including the remediation and roll out of the Gambia Tax Administration System (GAMTAXNET)—the reconstruction of large-taxpayer ledgers, expanded use of third-party data, and stronger compliance management.[10] However, a more robust integrated tax administration system is required to support electronic third-party data usage and effective compliance risk management. The procurement for a new system is in train. These initiatives require a longer lead time to translate into visible, structural gains in the tax-to-GDP ratio.

30. Going forward, GRA's existing strengths and its ambitious strategic agenda provide a solid base for future increase of revenues stemming from tax administration improvements. GRA's Corporate Strategic Plan for 2025–2029 places digital transformation at its center and is structured around four strategic objectives: improve voluntary compliance, improve trade facilitation, improve internal efficiencies, and culture transformation. The digitalization agenda includes the procurement and deployment of an ITAS during the CSP period.

31. The Corporate Strategic Plan (CSP) covers all RAYT categories to a certain extent (Annex I). Where full coverage is observed in Compliance Risk Management, Digitalization, and Human Resource Management, the other RAYT categories are only partially, or implicitly covered. This is most prominent for third-Party Data, Service Orientation, Public Accountability, Large Taxpayer Office/HNWI, and Enforcement.

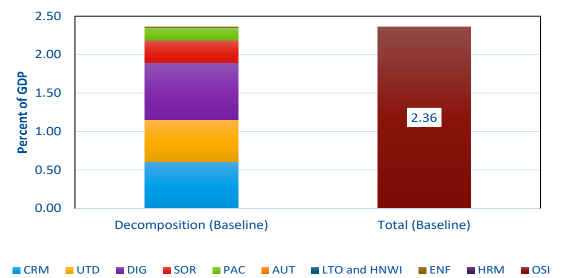
[9] Although sensitivity analysis has been conducted to account for the differentiated effects of tax administration based on a country's characteristics (informality, financial development, governance), this tool does not capture all country-specific characteristics, as it is based on panel regression analysis that provides average effects.

[10] It was worth noting that much of GRA's recent reforms focused on customs modernization, which falls outside the scope of RAYT.

32. Going beyond the CSP, RAYT indicates that a more ambitious and comprehensive reform—raising GRA's tax administration to an OSI of 0.82, among the stronger performers—would yield cumulative revenue gains of about 2.36 percent of GDP from tax administration reforms Such gains would require sustained implementation over several years (illustrated for 10 years) and would mainly come from improvements in compliance management, use of third-party data, and further digitalization.

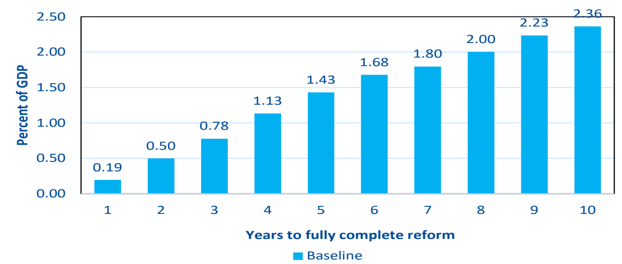
Tax Revenue Yield Estimates from Reform Simulation

(Changes in Operational Strength)[1/]



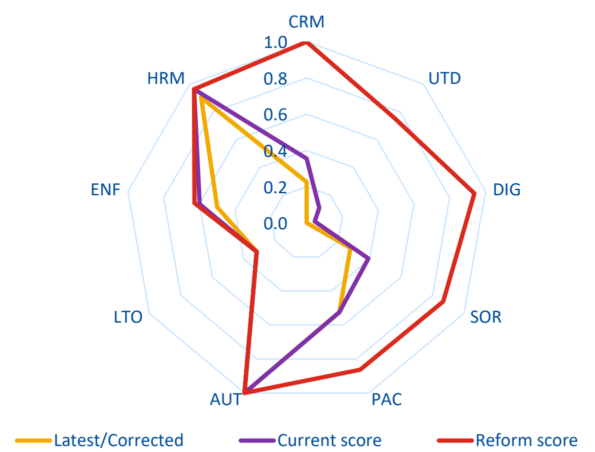
Cumulative Revenue Yield Estimates from Changes in Operational Strength Index, year-over-year

(10-year reform duration) [1/2/]



33. The RAYT estimate is substantially higher than the DRMS estimate of 0.24 percent from tax administration reforms, because it reflects the more ambitious scenario in RAYT, rather than only the measures embedded in the CSP. Under the assumption of full and sustained implementation of this scenario, the 2.4 percentage point increase in revenue due to tax administration could be interpreted as an indicative upper bound of what tax administration reforms could deliver. Raising revenue beyond this estimate would likely require additional tax policy measures. The authorities could consider raising the ambition of their tax administration revenue objectives to collect more revenue, but also adopt a holistic and institutional strategy that integrates tax administration, tax policy, and financial, institutional, or legal reforms to support revenue mobilization (Benitez et al., 2023 ; Atsebi et al., 2025).

Tax Administration Sub-indices



34. More realistically, a feasible increase in ambition would be to target convergence toward LICs and SSA averages, corresponding to an OSI of 0.54 and estimated revenue gains of about 0.7 percentage point of GDP. This scenario would anchor reform objectives in peer performance rather than in aspirational best-case outcomes. To realize this, GRA would need to be supported with sufficient resources to strengthen IT including the deployment of the ITAS and staff capacity, alongside improvements in the legal framework.

35. Successful implementation of GRA's strategic plan is expected to generate additional revenue gains, although these may materialize with a lag. Yields from tax administration improvements often materialize with a lag. This is particularly the case for GRA's planned reforms, including digitalization, where changes may take time to translate into sustained revenue performance. The reform effort should therefore be viewed not only as a source of near-term gains, but also as an investment in stronger medium-term revenue capacity. If implementation is sustained, the impact on the tax-to-GDP ratio could accelerate after the initial five-year period.

G. Conclusion

36. Domestic revenue performance in The Gambia has improved markedly in recent years but remains subject to important challenges. The Gambia has made notable progress in raising the tax-to-GDP ratio and strengthened fiscal resilience. At the same time, remaining gaps relative to peers, evolving financing needs, and rising external risks underscore the importance of sustaining reform momentum to further enhance revenue capacity over the medium term. Tax potential analysis and estimates from the IMF's Revenue Assessment and Yield Tool (RAYT) suggest that there is scope to raise revenues through more effective policy measures.

37. Going forward, reform efforts should focus on both tax policy and revenue administration. Priority tax policy measures include rationalizing tax exemptions, broadening the tax base, and strengthening the design of key instruments such as VAT and excises. On the administration side, advancing digitalization, strengthening compliance risk management, improving the use of third-party data, enhancing the effectiveness of the Large Taxpayer Office and High-Net-Worth Individual programs, and reinforcing enforcement will be critical. Sustained progress in these areas will be essential to consolidate recent gains and unlock further revenue potential.

Annex I. RAYT Categories and Coverage in GRA's Corporate Strategic Plan

RAYT category	**Coverage in GRA strategic Plan**	
A. Compliance Risk Management	Full	CRM is adopted as a core framework and work has commenced to embed the practice
B. Use of Third-Party Data	Partially	The Plan implicit refers to third party data initiatives but does not yet articulate a comprehensive, end to end third party data strategy.
C. Digitalization	Full	Digital transformation is the Plan's central pillar and is critical to improvements in compliance management
D. Service Orientation	Partially	Client experience initiatives are referred to, but several elements are only implicitly addressed or unevenly covered.
E. Public Accountability	Partially	Integrity, internal audit, and governance reforms are included, but systematic publication practices are not fully specified as commitments.
F. Autonomy	Partially	Organizational realignment and performance management are addressed. RAYT does not identify areas with a substantial revenue impact.
G. Large Taxpayer Office / HNWI	Partially	Large taxpayers are referenced through CRM and operational KPIs, but the Plan does not set out a distinct, comprehensive HNWI reform program.
H. Enforcement	Partially	Enforcement is supported indirectly through legal reform, CRM, and payment initiatives, but enforcement powers, strategies, and prioritization are not articulated.
I. Human Resource Management	Full	The Plan contains a comprehensive package covering leadership, skills, change management, performance management, and competency based HRM.

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